

JCCP5252 JCCP5252

County: los-angeles

Division: Civil Law and Motion

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Case Number: JCCP5252 Hearing Date: August 24, 2026 Dept: 1

Final

Approval of Class Action Settlement

Department SSC-1

Hon. Theresa M. Traber

Sunwest Wage and Hour Cases

Case

No.: JCCP5252

Hearing Date:

August 24, 2026

TENTATIVE RULING

The Court hereby GRANTS final approval and awards/approves the following:

(1) \$400,000 (33

1/3%) for attorney fees to Class Counsel, The

Nourmand Law Firm, APC, Lavi & Ebrahimian, LLP, and Lawyers for Justice, PC;

(2) \$77,396.69 for attorney

costs to Class Counsel; (3) enhancement payments of \$10,000 each to the class representatives, Juan Soto, Marvin Harris and Anthony Cruz; (4)

\$75,000 (75% of \$100,000 PAGA penalty) to the LWDA; and (5) \$14,500 for

settlement administration costs to CPT Group, Inc.

Plaintiffs' counsel shall file a proposed Order and Judgment, consistent with this ruling containing all requisite terms, including the class definition, release language, and a statement that no class members requested exclusion. The Court orders class counsel to file a final report summarizing all distributions made pursuant to the approved settlement, supported by declaration. The Court will set a non-appearance date for submission of a final report for _____.

BACKGROUND

Plaintiffs

Juan Soto, Marvin Harris and Anthony Cruz sues their former employer, Defendant Sunwest Electric, Inc. ("Defendant" or "Sunwest"), for alleged wage and hour violations. Plaintiffs seek to represent a class of Defendant's current and former non-exempt employees.

On

September 24, 2019, Plaintiff Soto provided written notice to the Labor Workforce Development Agency ("LWDA") and Defendant alleging violation of various provisions of the Labor Code. On September 26, 2019, Plaintiff Soto filed a putative wage and hour class action complaint against Defendant for failure to provide rest periods; failure to pay all wages upon termination; failure to provide accurate wage statements; and unfair competition. On December 2, 2019, Plaintiff Soto filed a First Amended Class Action Complaint adding a cause of action for civil penalties under the Private Attorneys' General Act ("PAGA") ("Soto Action").

On

April 17, 2020, Plaintiff Harris provided written notice to the LWDA and Defendant alleging violation of various provisions of the Labor Code and filed a putative wage and hour class action complaint against Defendant for failure to pay minimum wages; failure to pay overtime wages; failure to provide meal breaks, failure to provide rest breaks; failure to reimburse employees for business related expenses; failure to pay all wages upon termination; failure to provide accurate wage statements; and unfair competition ("Harris Action"). On August 28, 2020, Plaintiffs Soto and Harris filed a Consolidated Class Action Complaint.

On

April 12, 2021, Plaintiff Cruz provided written notice to the LWDA and Defendant alleging violations of various provisions of the Labor Code. On June 16, 2021, Plaintiff Cruz filed a putative wage and hour class action complaint in the Orange County Superior Court against Defendant for failure to pay minimum wages; failure to pay overtime wages; failure to provide meal breaks, failure to provide rest breaks; failure to reimburse employees for business related expenses; failure to pay all wages upon termination; failure to provide accurate wage statements; failure to timely pay wages; failure to maintain requisite payroll records; and unfair competition. On June 25, 2021, Plaintiff Cruz filed a separate PAGA action with the Orange County Superior Court.

On August 22, 2022, Defendant filed a Notice of Submission of Petition for Coordination seeking to coordinate the Soto, Harris and Cruz actions. On October 25, 2022, Judge Cunningham granted the Petition for Coordination. On December 9, 2022, the coordinated matter, entitled Sunwest Wage & Hour Cases was assigned to Department 1.

The parties in the Soto and Harris actions attended mediation on March 9, 2021, with Tripper Ortman, Esq. However, the parties were not able to reach a settlement at mediation. On February 19, 2025, the parties in the Cruz Action participated at mediation with Hon. Peter Wilson (Ret.) but could not reach a settlement at mediation.

The Parties continued settlement discussions with the assistance of the mediators, which eventually led to the Parties reaching a class/PAGA settlement. The terms of settlement were finalized in the long-form Class Action and PAGA Settlement Agreement ("Settlement Agreement"), a copy of which was filed with the Court on September 30, 2025.

On April 8, 2026, after the parties filed further briefing to address concerns raised by the Court, preliminary approval of the settlement was granted.

Notice was given to the Class Members as ordered (see Declaration of Alejandra Zarate ("Zarate Decl.")). Now before the Court is the Motion for Final Approval of the settlement.

SETTLEMENT

CLASS DEFINITION

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"Class"

means any and all persons employed by Sunwest in California and classified as an hourly-paid non-exempt employee who worked for Sunwest during the Class Period. (¶1.5)

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"Class

Period" means the period from September 26, 2015 to February 28, 2025. (¶1.12)

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"Aggrieved

Employee" means any and all persons employed by Sunwest in California and classified as an hourly-paid non-exempt employee who worked for Sunwest during the PAGA Period. (¶1.4)

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"PAGA

Period" means the period from September 24, 2018 to February 28, 2025. (¶1.35)

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"Participating

Class Member" means a Class Member who does not submit a valid and timely Request for Exclusion from the Settlement. (¶1.37)

TERMS

OF SETTLEMENT AGREEMENT

The essential terms are as follows:

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The Gross

Settlement Amount ("GSA") is \$1,200,000, non-reversionary.
(¶13.1)

o Escalator Clause: Based on its records.

Defendant estimates that, as of the date of this Settlement Agreement, (1) there are 1055 Class Members with a total of 79,346 Workweeks during the Class Period and (2) there are 763 Aggrieved Employees with a total of 39,673 PAGA Pay Periods during the PAGA Period. That said, the Gross Settlement Amount of \$1,200,000 agreed upon by the Parties at the time of tentative verbal settlement was based on an estimate of 86,000 workweeks. In the event the total number of Workweeks is more than 105% of the 86,000 Workweeks, i.e., 90,300 Workweeks, then Defendant can either reduce the end date of the Class Period until it reaches a total of 90,300 Workweeks, or increase the Gross Settlement Amount by calculating the workweek value off of 90,300 Workweeks and multiply the workweek value by the number of Workweeks over 90,300. For instance, if the total Workweeks are 90,301 Workweeks and the workweek value is \$14.00, and if Defendant chooses to increase the Gross Settlement Amount, it will have to increase it by \$14.00 (90,301 - 90,300 = 1 x \$14.00). (¶8)

o At final approval, the settlement administrator represents that the number of Workweeks during the Class period totaled 88,456. The escalator clause was not triggered because the total Workweeks did not exceed 10% of the total Workweeks estimate threshold. (Zarate Decl., ¶6.)

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The

Net Settlement Amount ("Net") estimated at preliminary approval (\$540,500) is the GSA minus the following:

o Up to \$420,000
(35%) for
attorney fees (¶3.2.2);

o Up to \$95,000 for litigation costs (Ibid.);

o Up to \$30,000 total [\$10,000 each] for
a Service Payment to each Named Plaintiff (¶3.2.1);

o Up to \$14,500 for settlement
administration costs (¶3.2.3); and

o Payment of \$100,000 PAGA penalty (75%
or \$75,000 to the LWDA). (¶3.2.5)

Defendant

will separately pay any and all employer payroll taxes owed on the Wage Portion of the Individual Class Payments. (¶3.1)

There

is no claim form requirement. (¶3.1)

Individual Settlement Payment Calculation: Each

Participating Class Member will receive an Individual Class Payment calculated by (a) dividing the Net Settlement Amount by the total number of Workweeks worked by all Participating Class Members during the Class Period and (b) multiplying the result by each Participating Class Member's individual Workweeks. (¶3.2.4)

Non-Participating Class Members will not receive any Individual Class Payments. The Administrator will retain amounts equal to their Individual Class Payments in the Net Settlement Amount for distribution to Participating Class Members on a pro rata basis. (¶3.2.4.2)

o PAGA Payments: The Administrator will calculate each Individual PAGA Payment by (a) dividing the amount of the Aggrieved Employees' 25% share of PAGA Penalties (\$25,000.00) by the total number of PAGA Pay Periods of all Aggrieved Employees during the PAGA Period and (b) multiplying the result by each Aggrieved Employee's individual PAGA Pay Periods. (¶3.2.5.1)

o Tax Allocation: Participating Class Member's Individual

Class Payments will be allocated as follows: 20% as wages, 80% as interest and penalties. (¶3.2.4.1) Any payment for an Individual PAGA Payment to the Aggrieved Employees will be allocated as one hundred percent (100%) penalties and the Administrator will report the Individual PAGA Payments on IRS 1099 Forms. (¶3.2.5.2)

Response Deadline: "Response Deadline"

means 45 calendar days after the Administrator mails the Class Notice to Class Members and Aggrieved Employees, and shall be the last date on which Class

Members may: (a) email or mail Requests for Exclusion from the Class Settlement, (b) email or mail his, her, or their objection to the Class Settlement, and/or (c) email or mail challenges to Workweeks and/or PAGA Pay Periods. For Class Members to whom Class Notices are resent after having been returned as undeliverable to the Administrator, the Response Deadline will be extended to the date that is 15 calendar days beyond the original Response Deadline. (§1.44) The same deadline applies to the submission of workweek disputes. (§7.6)

o If the number of valid Requests for Exclusion from the Class Settlement identified in the Exclusion List exceeds five percent (5%) of the total of all Class Members, Defendant may, but is not obligated, to elect to withdraw from the settlement. (§9)

Funding

of Settlement: Defendant shall fully fund the Gross Settlement Amount, and also fund the amounts necessary to fully pay Defendant's share of payroll taxes, by transmitting the funds to the Administrator no later than 14 calendar days after the Effective Date. (§4.3)

Disbursement:

Within 14 calendar days after Defendant funds the Gross Settlement Amount, the Administrator will transmit payments for all Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payments. Disbursement of the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment and the Class Representative Service Payments shall not precede disbursement of Individual Class Payments and Individual PAGA Payments. (§4.4)

Uncashed Settlement Checks: The face of each

check shall prominently state the date (not less than 180 calendar days after the date of mailing) when the check will be voided. (§4.4.1) For any Participating Class Member and/or Aggrieved Employee whose Individual Class Payment check or Individual PAGA Payment check is uncashed and canceled after the void date, the Administrator shall transmit the funds represented by such checks to the California Controller's Unclaimed Property Division in the name

of the Participating Class Member and/or Aggrieved Employee, and in their respective payment amount, thereby leaving no "unpaid residue" subject to the requirements of California Code of Civil Procedure Section 384, subd. (b). (§4.4.3)

The settlement administrator will be CPT Group, Inc. (§1.2)

The proposed Settlement Agreement was submitted to the LWDA on September 29, 2025. (Nourmand Decl. ISO Prelim, Exhibit 2.)

Release of Claims. Upon the Effective Date and full funding of the entire Gross Settlement Amount and all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, Plaintiffs, Class Members, the State of California, and Aggrieved Employees will release claims against all Released Parties as follows: (§5)

o Release of Class

Claims by Participating Class Members: All Class Members who have not opted out from the Class Settlement will release and discharge the Released Parties from all claims, demands, rights, or liabilities that were pled, or which could have been pled, based on the factual allegations alleged in the Operative Complaints and that arose during the Class Period, including, but not limited to, claims for violations of California Labor Code sections 201, 202, 203, 204, 226(a), 226.3, 226.7, 510, 512(a), 1174(d), 1194, 1194.2, 1197, 1197.1, 1198, 2800 and 2802, and Industrial Welfare Commission Wage Orders Nos. 1-2001, 4-2001, and 16-2001 for: (a) failure to pay all wages owed, including minimum and overtime wages; (b) failure to provide proper meal periods, and to properly provide premium pay in lieu thereof; (c) failure to provide proper rest periods, and to properly provide premium pay in lieu thereof; (d) failure to provide complete, accurate, and/or properly formatted wage statements; (e) failure to timely pay wages during employment; (f) failure to timely pay wages upon termination of employment associated waiting time penalties; (g) failure to reimburse all reasonable and necessary business expenses; (h) unfair business practices that could have been premised on the claims, causes of action, or legal theories of relief described above or on any of the claims, causes of action, or legal

theories of relief pleaded in the Operative Complaints; (i) any other claims or penalties under the wage and hour laws pleaded in the Operative Complaints; and (j) all damages, penalties, interest, and other amounts recoverable under said claims, causes of action, or legal theories of relief in the Operative Complaints (collectively, the "Released Class Claims"). (§5.2)

§ "Operative

Complaints" means, collectively, the Consolidated Complaint, Cruz Class Complaint, and Cruz PAGA Complaint. (§1.30)

o Released PAGA Claims

by Aggrieved Employees: The State of California with respect to all Aggrieved Employees, including and not limited to, Non-Participating Class Members who are Aggrieved Employees, are deemed to release, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, the Released Parties from all claims for civil penalties recoverable under the Private Attorneys General Act, California Labor Code section 2698, et seq. that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaints and the PAGA Notices and that arose during the PAGA Period, including but not limited to, claims for violations of California Labor Code sections 201, 202, 203, 204, 226(a), 226.3, 226.7, 510, 512(a), 1174(d), 1194, 1194.2, 1197, 1197.1, 1198, 2800 and 2802, and Industrial Welfare Commission Wage Orders Nos. 1-2001, 4-2001, and 16-2001 for: (a) failure to pay all wages owed, including minimum and overtime wages; (b) failure to provide proper meal periods, and to properly provide premium pay in lieu thereof; (c) failure to provide proper rest periods, and to properly provide premium pay in lieu thereof; (d) failure to provide complete, accurate, and/or properly formatted wage statements; (e) failure to timely pay wages during employment; (f) failure to timely pay wages upon termination of employment associated waiting time penalties; and (g) failure to reimburse all reasonable and necessary business expenses (collectively, the "Released PAGA Claims"). (§5.3)

§ "PAGA Notices"

means, collectively, the Soto PAGA Notice, Harris PAGA Notice, and Cruz PAGA Notice. (§1.32)

§ Because future PAGA

claims are subject to claim preclusion upon entry of the Judgment, Non-Participating Class Members who are Aggrieved Employees are deemed to

release the Released PAGA Claims identified in Paragraph 5.3 of this Agreement and are eligible for an Individual PAGA Payment. (¶7.5.4)

o "Released Parties" means Sunwest and each of its former and present directors, officers, shareholders, owners, members, attorneys, insurers, predecessors, successors, assigns subsidiaries, and affiliates. (¶1.42)

o Named Plaintiffs will also provide a general release and CC § 1542 waiver. (¶5.1)

ANALYSIS OF SETTLEMENT AGREEMENT

A.

Does a presumption of fairness exist?

The Court preliminarily found in its Order of April 8, 2026 that the presumption of fairness should be applied. No facts have come to the Court's attention that would alter that preliminary conclusion. Accordingly, the settlement is entitled to a presumption of fairness as set forth in the preliminary approval order.

B.

Is the settlement fair, adequate, and reasonable?

The settlement was preliminarily found to be fair, adequate and reasonable. Notice has now been given to the Class and the LWDA.

Reaction of the class members to the proposed settlement.

Number of class members: 1,071 (Zarate Decl., ¶5.)

Number of notice packets mailed: 1,071 (Id. at ¶8.)

Number of undeliverable notices: 6 (Id. at ¶10.)

Number of opt-outs: 0 (Id. at ¶13.)

Number of objections: 0 (Id. at ¶12.)

Number of participating class members: 1,071 (Id. at ¶15.)

Average individual payment: \$504.67 (Id. at ¶17.)

Highest individual payment: \$2,871.88 (Ibid.)

The

Court finds that the notice was given as directed and conforms to due process requirements. Given the reactions of the

Class Members and the LWDA to the proposed settlement and for the reasons set for in the Preliminary Approval order, the settlement is found to be fair, adequate, and reasonable.

C. Attorney Fees and Costs

Class

Counsel requests an award of \$420,000 (35%) in fees and \$77,396.69

in costs. (Memo ISO Final

at 14:7-10.) The Settlement Agreement provides for up to \$420,000 (35%) in fees and \$95,000 in costs (¶3.2.2).

“Courts

recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method.” (Wershba v. Apple Computer, Inc. (2001) 91 Cal.App.4th 224, 254.) Here, class counsel request attorney fees using the percentage method, as crosschecked by lodestar. (Memo ISO Final at pp. 11-17.)

In

common fund cases, the Court may employ a percentage of the benefit method, as cross-checked against the lodestar. (Laffitte

v. Robert Half Int'l, Inc. (2016) 1 Cal.5th 480, 503.) The fee request represents 35% of the gross settlement amount, which is above the average generally awarded in class actions. (See In re Consumer Privacy Cases (2009) 175 Cal.App.4th 545, 558, fn. 13 [“Empirical studies show that, regardless whether the percentage method or the lodestar method is used, fee awards in class actions average around

one-third of the recovery.”].)

Class Counsel has provided information, summarized below, from which the lodestar may be calculated:

Firm

Rates

Hours

Totals

The
Nourmand Law Firm

\$100-975

317

\$224,850.00

Lavi
& Ebrahimian

\$675-1,000

180

\$136,750.00

Lawyers
for Justice

\$850

317.2

\$269,620.00

Totals

814.2

\$631,220.00

(Nourmand

Decl. ISO Final, ¶28; Gray Decl. ISO Final, ¶¶14-24;

Matavosian Decl. ISO Final, ¶¶13-14.)

Counsel's percentage-based fee request is lower than the unadjusted lodestar and would represent application of a multiplier of approximately 0.66x. Notice of the fee request was provided to class members in the notice packet and no one objected. (Zarate Decl., ¶12, Exhibit A.)

Fee Split: Class Counsel and their respective clients have agreed that the attorneys' fees to be awarded by the Court shall be split between Class Counsel as follows: 52.5% of the awarded attorneys' fees would be paid to The Nourmand Law Firm, APC, 22.5% of the awarded attorneys' fees would be paid to Lavi & Ebrahimian LLP and 25% of the awarded attorneys' fees would be paid to Lawyers for Justice PC. (Nourmand Decl. ISO Final, ¶33.)

No evidence is presented suggesting a fee award of 35% is appropriate. There is nothing to suggest this case involved novel legal issues or particularly difficult facts. Plaintiffs' counsel are experienced in wage and hour cases and do not show they took any risk in excess of that normally taken in any other contingent fee case of this type.

Fees are set at 33 1/3% of the GSA or \$400,000, which represents a reasonable percentage of the total funds paid by Defendant.

As

for costs, Class Counsel is requesting a cost amount of \$77,396.69, of which \$19,468.92 costs were advanced by The Nourmand Law Firm, APC, \$23,583.53 by Lavi & Ebrahimian LLP, and \$34,344.24 by Lawyers for Justice, PC. (Memo ISO Final at 14:7-10.) This is less than the \$95,000 cap estimated at preliminary approval, which was disclosed to Class Members in the Notice and not objected to. (Zarate Decl., ¶12, Exhibit A.)

Counsel represent that costs include, but are not limited to: filing and service fees, Case Anywhere, court reporter, mediation fees, and expert fees. (Nourmand Decl. ISO Final, ¶34; Gray Decl. ISO Final, ¶26, Exhibit 1; Matavosian Decl. ISO Final, ¶21, Exhibit B.) The costs appear to be reasonable in amount and reasonably necessary to this litigation.

Based on the above, the Court awards \$400,000 in fees and \$77,396.69 in costs.

D. Incentive Awards

The class representatives, Juan Soto, Marvin Harris and Anthony Cruz, seek enhancement payments of \$10,000 each for their contributions to the action. (Memo ISO Final at 10:7-9.)

In connection with the final fairness hearing, named Plaintiffs must submit declarations attesting to why they should be entitled to an enhancement award in the proposed amount. The named Plaintiffs must explain why they “should be compensated for the expense or risk he has incurred in conferring a benefit on other members of the class.”

(Clark v. American Residential Services LLC (2009) 175

Cal.App.4th 785, 806.) Trial courts

should not sanction enhancement awards of thousands of dollars with “nothing more than pro forma claims as to ‘countless’ hours expended, ‘potential stigma’ and ‘potential risk.’

Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiffs, is required in order for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit’” (Id. at 806-807, italics and ellipsis in original.)

Each Plaintiff represents that his contributions to this litigation include: communicating with their attorneys about the case, searching for and providing documents and information related to their work experience, identifying potential witnesses, assisting in reviewing records, answering questions, preparing responses to discovery requests, being deposed, preparing for and being available during mediation, and reviewing the settlement. (Declarations of Juan Soto, Marvin Harris, Anthony Cruz filed ISO Final

Approval.)

Based on the above

and especially Plaintiffs' active participation in discovery, as well as the benefits obtained on behalf of the class, the recommendation is to grant the enhancement payments in the amount of \$10,000 to each Plaintiff.

E.

Settlement Administration Costs

The settlement

administrator, CPT, is requesting \$14,500 for the costs of settlement administration. (Zarate Decl.,

¶19.) This equals the estimate of \$14,500

provided for in the Settlement Agreement (¶3.2.3) and disclosed to class members in the Notice, to which there were no objections. (Zarate Decl., ¶12, Exhibit A.) Based on the above, the recommendation is to award costs in the requested amount of \$14,500.